**ELITE FOUR CAPITAL**
Political Event & Relative-Value Desk

# A Unified Tax Theory for Prediction-Market Trading

*— and the strategy it implies*

Synthesised from the leading practitioner authorities · July 2026
*Educational — not tax advice. Adopt a position with a qualified CPA.*

## 1. The theory in one page

There is no IRS guidance on how event contracts are taxed. Therefore practitioners reason by analogy. Four regimes compete: gambling, capital gains, ordinary income, and the favourable Section 1256 (60/40) treatment. Two leading authorities agree on a common position: Robert A. Green, CPA (GreenTraderTax) and Patrick Camuso, CPA (Camuso CPA, AICPA Digital Asset Tax Task Force). The desk adopts their common position and calls it the Victory Road Position:

- **Two steps, not one. You first realise the gain under §1001 when you sell or settle a contract. You then decide its character separately, and it defaults to the capital-asset rule of §1221.**
- **Default to capital treatment. These contracts are transferable and trade on a secondary market. You hold them to profit from price and probability moves. These are the marks of a capital asset. This is the most defensible position for regulated, finance-like contracts. It keeps full loss netting and indefinite carryforwards.**
- **Respect the election-contract exception. The authorities agree that sports, culture, and political contracts sit closest to the wagering line. The Ossoff book is exactly that category. Therefore you must earn the capital position through conduct and documentation. Do not assume it.**
- **Avoid the two extremes. Reject gambling treatment where you can, because after OBBBA it is punitive. Do not claim §1256 as a default, because it is aggressive and probably fails the statutory test.**

**This matters. On a $100,000 gain, the character question alone moves the federal tax from about $37,000 (ordinary or gambling) to about $26,800 (§1256). The loss rules move even more. You must get the character right, then trade and document to support it.**

## 2. Why the answer is genuinely unsettled

As of mid-2026, the IRS has issued no revenue ruling, notice, or regulation on event contracts (Green, April 2026; Camuso, 2026). The Code was not written for binary, event-based markets. Therefore the contracts do not map cleanly onto securities, commodity futures, options, or wagering. Three forces increase the uncertainty:

- **Litigation and enforcement. New Jersey litigation and an April 2026 New York Attorney-General action treat some sports and election event contracts as gambling under state law. These are state and consumer-protection classifications. They do not control the federal income-tax character, but they affect perception.**
- **The swap problem. The CFTC has described some event contracts as binary-option swaps. This could trigger the §1256(b)(2)(B) exclusion, which Congress wrote to deny 60/40 treatment to such instruments.**
- **OBBBA (2026). The One Big Beautiful Bill Act amended §165(d). It caps wagering-loss deductions at 90 percent and broadens what counts as a wagering loss. This makes the gambling bucket much worse, and it can tax a break-even year.**

## 3. The expert taxonomy — four regimes

The authorities agree on the same four candidates. The table summarises each. The paragraphs after it explain the verdicts.

| Regime | Legal hook | Rate feel | Loss rules | Verdict |
|---|---|---|---|---|
| Capital gains | §1221 (default) | LT 0/15/20% if | Full netting; | **Our default** |

| Regime | Legal hook | Rate feel | Loss rules | Verdict |
|---|---|---|---|---|
| | | held >1yr; else ordinary | $3k/yr vs ordinary; carry forward | |
| Ordinary / “other income” | Sch 1, line 8z | 10–37% | No special break | Conservative, common |
| Section 1256 | 60/40 split | ~26.8% blended (top) | 3-yr carryback vs 1256 gains | **Aggressive; likely fails** |
| Gambling | §165(d) | Ordinary, + 90% loss cap | Losses ≤ winnings; no carryforward | **Avoid if possible** |

### Capital (§1221) — the practitioner default

Green holds that the contracts are property and fall within no §1221 exclusion. They are assignable, have a basis and a disposition price, are entered to profit from probability changes, and can be sold before settlement. These are the marks of a capital asset. Camuso frames it as §1001 realisation, then §1221 character. Both note one practical catch. In a fast-trading book, most gains are short-term and taxed at ordinary rates, unless you hold a position past a year on purpose.

### Ordinary / “other income” — simple but unsupported

Many traders use this for convenience and report the net on Schedule 1. But Green is blunt: no clear authority forces ordinary treatment. A true derivative or §475 position is hard to justify, because the contracts have no notional principal, no periodic payments, and no statutory mark-to-market. Reporting a net as “other income” is a practical choice, not a legal conclusion.

### §1256 (60/40) — tempting, probably unavailable

A CFTC-regulated exchange (a Designated Contract Market) may be a “qualified board or exchange”. But the contract itself must still meet the §1256 definition: a regulated futures contract or a listed non-equity option. Event contracts settle on binary outcomes, have no statutory mark-to-market, and may fall under the swap exclusion. Green and Camuso agree: this is aggressive and unsettled, and not a default. Pursue it only with formal analysis, Form 6781, and a willingness to defend it.

### Gambling (§165(d)) — the extreme to avoid

This looks conservative but is punitive. Losses are limited to winnings, only 90 percent deductible from 2026, never carried forward, and often trapped behind the standard deduction. Camuso stresses that gambling is not the default. Where you acquire and dispose of transferable, priced contracts, property principles apply, not wagering rules.

## 4. The Victory Road Position (our synthesis)

From the above, the desk adopts one consistent framework. It also trades and documents to support it:

- **Character follows substance and conduct, not the platform's paperwork. A 1099, or its absence, does not decide the treatment. The desk defaults to capital-asset (§1221), because the positions are transferable, secondary-traded, and held to profit from mispricing.**
- **Earn the capital position through behaviour. Actively buy and sell before settlement. The trading thesis already prescribes this: exit into the re-rating, do not hold to resolution. This behaviour supports “transferable property held for speculation” and weakens the “one-off wager” story. Election contracts need this support most.**

- **Be consistent and document at the time. Pick the position, apply it to every contract and every year, and keep a written rationale and full records that would survive an exam years later (Green; Camuso).**
- **Disclose where warranted. For any position more aggressive than plain capital treatment, consider a Form 8275 disclosure to reduce penalty exposure. Take CPA advice first.**

## 5. What the character choice is worth

**Rate, on a $50,000 gain (the figures are federal and include the 3.8 percent NIIT at the top bracket):**

| Treatment | Top bracket — keep | 24% bracket — keep | Effective rate |
|---|---|---|---|
| Ordinary / gambling / short-term capital | $29,600 | $38,000 | 40.8% / 24.0% |
| Section 1256 (60/40) | $34,700 | $40,700 | 30.6% / 18.6% |
| Long-term capital (held >1 yr) | **$38,100** | **$42,500** | 23.8% / 15.0% |

*Camuso's worked case agrees. A $100,000 gain costs about $37,000 as ordinary income, against about $26,800 under §1256. That is about $10,200 saved, if the position holds.*

**Losses matter even more. Take a year with $30,000 of winners and $12,000 of losers:**

| Treatment | Taxable after losses | Note |
|---|---|---|
| Capital (§1221) | **$18,000** | Full netting; excess carries forward |
| Gambling (§165(d), OBBBA 90% cap) | $19,200 | Only $10,800 of losses count; no carryforward |

The extra tax from gambling's 10 percent haircut is small here, but the structural differences are large. Gambling losses cannot exceed winnings, never carry forward, and are often lost behind the standard deduction. Therefore a losing or break-even year can still be taxed. Capital treatment keeps losses indefinitely. In Green's example, a $50k capital loss carries $47k forward to offset next year's gains.

## 6. The strategy this implies

**1. Choose the venue for clean character, not only price. Kalshi is a CFTC-regulated DCM that settles in US dollars, with limited 1099s. It gives the cleaner record. Polymarket is offshore and settles in USDC, so every buy, sell, and payout is also a taxable crypto-property disposal, with no forms at all. Favour Kalshi for the taxable book. Use Polymarket only when its price edge clearly beats the added tax friction.**

**2. Trade in a way that supports capital character. Enter and exit on the secondary market before settlement. This is already the investment thesis (harvest the re-rating). It also serves as the strongest evidence that these are traded property, not wagers.**

**3. Harvest losses; the wash-sale rule probably does not apply. §1091 covers “stock or securities”. Event contracts treated as non-security property fall outside it (Green). You can realise a loss and re-enter the same position to bank the deduction, with no 30-day wait. Use it to offset gains. Green cautions against abusively recycling near-identical short-term positions, so keep it reasonable.**

**4. Run a holding-period barbell. Churn the tactical trades at short-term ordinary rates. Deliberately let one or two high-conviction positions ripen past 12 months to capture long-term rates. This is the single biggest legal rate cut available, if capital treatment holds. Weigh it against the 0-percent-yield lockup.**

**5. Time realisations around year-end. Defer winning exits into January. Pull losing exits into the current year. Net winners against losers within each year.**

**6. Keep exam-grade records; this is the compliance core. Export the full transaction history. Identify every acquisition, disposition, and settlement with basis and dates. Reconcile to cash flows. Retain the records for 7 years. Kalshi exports values in cents, so divide by 100 or you overstate P&L 100 times. For Polymarket, track the USDC cost basis per transaction.**

**7. Mind entity, TTS, and estimates. Trader Tax Status and §475 mark-to-market apply to securities and commodities, not to standalone event contracts, so do not assume them here. If the gains are large, pay quarterly estimated taxes to avoid underpayment penalties.**

## 7. Applied to the Ossoff book

The contracts are election and political. The authorities flag this category as the closest to wagering. This raises, not lowers, the importance of the plan above:

- Default to capital treatment, but earn it. Trade the secondary market, exit before settlement, and document the profit motive and the research process (this desk, the models, the white papers).
- Prefer Kalshi for the nomination market where you can. Recall that Kalshi also priced about 2 cents richer, which is a real cost to weigh against cleaner tax and USD settlement.
- Harvest losses on losing legs to offset the winners. Carry forward anything left.
- Be ready to defend against a gambling challenge. Consistency and records are the defence.

## 8. Risk, disclosure, and the bottom line

This is a gray area. The honest hierarchy is as follows. Capital treatment is the most defensible and the most common for regulated, tradable contracts. Gambling is conservative but increasingly punitive. §1256 and pure-ordinary are uncertain. Once you pick a reasonable, fact-based position, apply it consistently and document the rationale (Green). The contracts are political and the dollars can be large, so engage a specialist CPA. The authorities cited here (GreenTraderTax; Camuso CPA) do exactly this work. Consider a Form 8275 disclosure for anything beyond plain capital treatment.

*Elite Four Capital prepared this as an educational synthesis of published practitioner positions. It is not tax advice. It creates no advisor relationship. It does not reflect IRS guidance, because none exists. Tax outcomes depend on your facts and your state of residence. Consult a qualified CPA before you file.*

## Appendix — forms, checklist & sources

### Where each position is reported

- **Capital: Form 8949, then Schedule D. §1256: Form 6781 (mark-to-market at year-end), then Schedule D. Ordinary or other: Schedule 1, line 8z. Gambling: winnings as other income; losses itemised on Schedule A (90 percent cap). Aggressive positions: Form 8275 disclosure.**

### Record-keeping checklist

- Export the full platform transaction history (Kalshi: convert cents to dollars).
- Record the acquisition, the disposition or settlement, the dates, the basis, and the proceeds for each contract.
- For Polymarket, record the USDC cost basis and disposal for every trade (crypto-property events).

- Write a statement of your chosen position and its rationale. Retain it for 7 years.

### Sources

Robert A. Green, CPA — “Prediction Market Taxes: Capital Gains, Gambling, or Something Else?”, GreenTraderTax, April 2026. · Patrick Camuso, CPA — “Kalshi Tax Reporting: What Your 1099 Leaves Out,” Camuso CPA, 2026, and related prediction-market analyses. · Monaco CPA and Keeper prediction-market tax guides, 2026. · CNBC, “Prediction markets are booming; how to tax winnings is anyone's guess,” December 2025. · IRC §§1001, 1221, 1256, 165(d), 1091; OBBBA (2025).